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There are a lot of opportunities in FMCG that ITC can possibly look at. Would you, for instance, look at edible oil?

That is unlikely since we don't think we can create value. The question is what differentiation I bring to the table. Take the case of our *atta* business, where our blend-making process is unique or salt where natural salt becomes a strong proposition.

A key part about our milk business is the way we process it, which enables us to offer differentiated and value-added products. A case in point is our lactose-free offering that is sold in pouches and not tetrapacks, with the objective being to democratise solutions. Today, in our dairy business, 25 per cent comes from value-added products such as *lassi*, curd, *mishti doi* and *paneer*.

Milk is a game of scale. We are present in Bihar and Kolkata now. If we succeed, we will move into other markets but it is important to create a model that can give us the right economics.

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How do you deal with the laggards in the portfolio?

The brand rationalisation is a continuous one. We exited businesses such as Wills Lifestyle, John Players, shampoos and greeting cards. Within the portfolio it is a complete exit or one that is regional.

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At what point does a brand extension make sense?

Let me take the case of Aashirvaad, where the brand stands for quality, trust and anything healthy. When the extension fits these criteria, we will go ahead. Fresh dairy is a good fit and it makes sense to be housed here. However, milkshakes will not come under Aashirvaad.

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At what point do you decide a large category (like biscuits) is ready to move from a third-party manufacturing arrangement to doing it yourself?

There are three areas that we consider here. One is the unique innovations that we have and then the ability to make the best use of our integrated infrastructure, which gives us efficient unit economics. Finally, we will do it if there is better control on processes and technology.

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How much of a transition do you think ITC has made from primarily selling cigarettes?

Without a doubt, it is a very different company today with less than 40 per cent of revenues coming from tobacco. FMCG is a big piece and within that there are several large businesses. I am personally very involved here and devote a considerable amount of time to the businesses. FMCG has a lot of components—new markets, new categories and tremendous scope for innovation. Besides, the width of our portfolio will show there are a lot of kids [brands at an early stage of the growing up process and with potential].

In the medium term, we want to demonstrate industry-leading growth, improve margins, continuously sell high-quality products, focus on sustainability, and scale up categories and adjacencies. There are several opportunities that are interesting and adjacencies is one. Our objective will always be to create a point of difference. **BT**

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an interesting finding—the product did get a little lumpy and sticky. Building on that, ITC's Yippee noodles launched a non-sticky version. The agri business sourcing advantage helped bring in wheat and the challenger, which hit the market in 2010, now has a 21-22 per cent share with Maggi at around 55-60 per cent; at the time of Yippee's launch, Maggi had over 85 per cent market share.

According to Shubhajit Sen, Founding Partner, A Priori Consultants, ITC seeks out large categories such as biscuits, snacking, spices and dairy, with preferably a large unorganised/local segment. "They use their inherent sourcing strength to develop good value products and then apply significant pressure both in marketing and distribution to gain share. In more mature categories, they innovate with the intention of driving upgrades to more premium offerings. Overall, this playbook has served them well in many categories."

With all that is a sound understanding of what the consumer wants. B. Sumant, ITC's Executive Director, is succinct when he says: "Our relationship with the consumer is the Holy Grail". That will inevitably depend on the ability to possess first-party data. "Our own D2C store platform, ITC e-store, enables us to engage with the customer directly. Through this, we sell over 700 products," he says.

E-commerce, now an indispensable part of any FMCG company's toolkit, has seen ITC's revenue from this segment move from 2-3 per cent to 7-8 per cent today, with Sumant, also a Director on ITC's board, pointing out how it is in the double digits for personal care. "The entire process of identifying consumer insights has changed and digital allows you to get very focussed insights and make our communication even more effective," he says.